

Tutorial 4

VWAP and Anchored VWAP: Price Magnets and Dynamic Context

Use VWAP to understand where volume-weighted price memory sits during an intraday trade.

Student Guide | Trading Education Workbook

Purpose of this handout

This document turns one coaching topic into a focused lesson, practice routine, and homework assignment. It is written for education and paper-trading practice only. It is not financial advice and does not recommend buying, selling, shorting, or holding any security.

Source of the lesson

Based on the coaching conversation with Val and Adel on technical execution, risk management, and chart study. External references are included to deepen the concept and give the student reliable follow-up reading.

How to use this tutorial

1. Read the objective and key terms first.
2. Study the chart logic slowly before trying to trade it.
3. Complete the practice drill using paper trading or chart replay.
4. Answer the homework questions at the end in writing.

Learning Objective

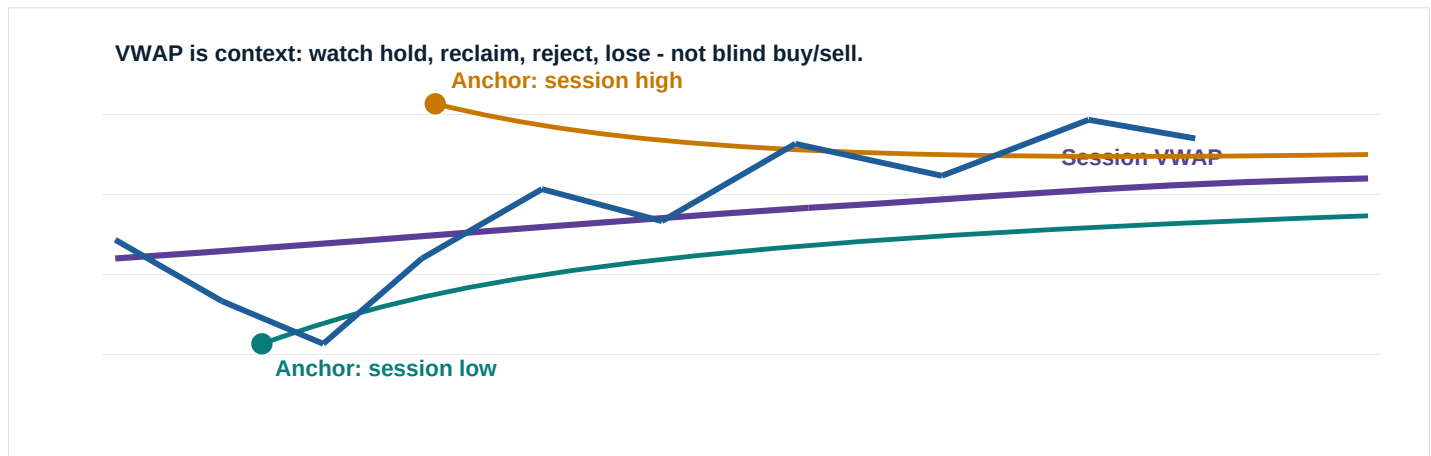
By the end of this tutorial, the student should understand session VWAP, anchored VWAP, why VWAP can act like a price magnet, and how to manually anchor VWAP to meaningful highs and lows without creating visual noise.

One-sentence lesson

VWAP is not a buy/sell button; it is a dynamic context line that helps the student read whether price is holding, reclaiming, rejecting, or losing an important volume-weighted area.

Key Terms

Term	Student Definition	Use in the Lesson
VWAP	Volume Weighted Average Price: average price weighted by volume.	Used as intraday direction/context and a possible price magnet.
Session VWAP	VWAP calculated from the trading session.	Used to see where session flow is centered.
Anchored VWAP	VWAP calculation started from a chosen chart point.	Used to study price memory from a high, low, catalyst candle, or pivot.
Reclaim	Price moves back above an important level after being below it.	A possible sign of renewed demand if confirmed.
Reject	Price touches or approaches a level and fails.	A warning that the level is acting as resistance.



What VWAP Adds to the Chart

VWAP combines price and volume. That matters because a price level with large volume behind it often carries more information than a price level with very little participation.

In the coaching session, VWAP was treated as a price magnet and dynamic support/resistance area for scalping. This means the student watches how price behaves around VWAP, not just whether price touches the line.

Session VWAP vs. Anchored VWAP

Tool	Starts From	Best Use	
Session VWAP	The trading session or selected session setting.	Intraday flow, session direction, and current price relative to volume-weighted average.	

Tool	Starts From	Best Use	
Anchored VWAP from low	A meaningful session or swing low.	Shows the average cost from the low and can act as support/context.	
Anchored VWAP from high	A meaningful session or swing high.	Shows the average cost from the high and can act as resistance/context.	
Anchored VWAP from catalyst	A major news, earnings, gap, or breakout candle.	Shows whether the market is accepting or rejecting price after the event.	

Manual anchor rule
For this stage of learning, manually anchor VWAP to the most meaningful high and low. Avoid auto-anchored tools if they create too many lines and make the student confused.

Chart Setup Drill

1. Add session VWAP.
 2. Add anchored VWAP from the session low.
 3. Add anchored VWAP from the session high.
 4. Make each VWAP visually distinct: different color or line thickness.
 5. Remove extra VWAPs or indicators that create visual noise.
 6. Save the chart template so the setup is ready before a live trade.

How to Read VWAP Behavior

Behavior	What It Can Mean	Student Response	
Price above VWAP	Intraday buyers may be in control.	Do not chase; look for pullback, hold, or continuation.	
Price below VWAP	Intraday sellers may be in control.	Avoid blind longs; wait for reclaim or new structure.	
Reclaim VWAP	Price recovers an important context level.	Watch for confirmation and risk-defined entry.	
Reject VWAP	Price fails at the VWAP area.	Treat as caution; check volume and structure.	
Chop around VWAP	No clean control by buyers or sellers.	Reduce risk or avoid until structure is clearer.	

VWAP Observation Checklist

Action	Done
Is price above, below, or inside the VWAP area?	
Is price holding VWAP or slicing through it?	
Is VWAP aligned with a moving average or structural level?	
Is volume expanding on the move or fading?	

Action	Done
Is the student seeing a reclaim, rejection, or chop?	
Does the stop plan make sense if VWAP fails?	

Mistakes to Avoid

- Buying just because price touches VWAP.
- Treating every VWAP line as equally important.
- Keeping auto-anchored VWAP lines that confuse the chart.
- Using the same color for VWAP, anchored VWAP, and moving averages.
- Ignoring higher timeframe structure while staring at VWAP.

Research References

Use these references to deepen the lesson. They are educational sources; they do not replace a written trading plan or broker-specific rules.

1. TradingView Help Center - Volume Weighted Average Price (VWAP). Defines VWAP as price weighted by volume and notes common intraday use.
<https://www.tradingview.com/support/solutions/43000502018-volume-weighted-average-price-vwap/>
2. TradingView Help Center - Anchored VWAP Drawing Tool. Shows how to apply anchored VWAP manually and adjust color/thickness for clarity.
<https://www.tradingview.com/support/solutions/43000669764-anchored-vwap-drawing-tool/>
3. CMT Association - Trendline and Channel Tutorial, Part 4. Discusses resistance confluence and the use of preferred entry and stop-placement methods around confluence areas.
<https://cmtassociation.org/tradingview-ideas/qigbbi2b-trendline-and-channel-tutorial-part-4/>

Homework - Complete Before the Next Session

Complete the homework on at least five intraday charts. Take screenshots before and after adding the VWAP tools.

Question / Prompt	Student Answer
What does VWAP stand for?	
Why does volume weighting make VWAP different from a simple moving average?	
Where did you anchor the first anchored VWAP, and why?	
Where did you anchor the second anchored VWAP, and why?	
Did price hold, reclaim, reject, lose, or chop around VWAP?	
What other level was near VWAP: SMA, EMA, pivot, support, or resistance?	
What trade mistake could happen if you treat VWAP as an automatic buy signal?	
Which line color/thickness made your chart easiest to read?	

Submission Checklist

Item to Submit	Done
5 screenshots with session VWAP and two anchored VWAPs labeled.	
One written example of a VWAP reclaim.	
One written example of a VWAP rejection.	
A saved chart template with clean VWAP colors.	